

RINAURO v STATE OF CALIFORNIA – EMPLOYMENT DEVELOPMENT DEPARTMENT

24CV47789

DEFENDANT’S DEMURRER

This is dispute involving unpaid tax assessments and an alleged settlement agreement regarding those assessments. Now before the Court is a demurrer filed by State of California Employment Development Department (“Defendant”) to the Complaint brought by Christopher Rinauro (“Plaintiff.”)

I. Factual and Procedural Background

Plaintiff owns and operates a tree trimming business within Calaveras County. (Complaint ¶ 12.) During the relevant time period, Plaintiff employed approximately 10 individuals. (*Ibid.*) Between 2012 and 2016, due to a bark beetle epidemic, Plaintiff had to add roughly three to five additional personnel to assist with the added business. (*Ibid.*) Plaintiff alleges that these individuals were independent contractors, set their own hours and schedule, and represented that they would pay their own taxes. (*Ibid.*) Plaintiff alleges that during the relevant time period, he paid all his employment taxes and that no unemployment claims were made. (*Id.* ¶ 13.)

In or around 2018, after a complaint from a competitor, Defendant opened an investigation into Plaintiff’s employment books. (Complaint ¶ 14.) During this investigation, Defendant allegedly found payments made to third parties which they interpreted to be for work performed and assessed Plaintiff excess income taxes, penalties and interest. (*Ibid.*) Plaintiff alleges most of these taxes were unjustified and that Defendant never interviewed the independent contractors. (*Ibid.*)

On April 3, 2018, Defendant asked the Calaveras County District Attorney to file criminal charges against Plaintiff alleging several counts of failing to file reports and making false statements on his tax forms. (Complaint ¶ 15.) The criminal matter (Case No. 18F7290) case was resolved for two misdemeanor counts. Defendant also, however, sought restitution in excess \$166,000. (*Ibid.*)

Prior to a hearing on the restitution issue, Defendant agreed to accept \$27,028.65 as satisfaction of their assessed claims related to their allegations. (Complaint ¶ 16 citing December 10, 2020, Order (“Restitution Order.”) Plaintiff made payment via check on or about April 21, 2021, with a memo line that stated “Final Restitution.” (*Id.* ¶ 17.)

In May of 2023 Defendant sent a statement to Plaintiff alleging he still owed approximately \$160,000 for the same assessments. (Complaint ¶ 18.) Plaintiff, via counsel, objected, expressing that the Restitution Order settled the matter for \$27,028.85, and that the same had been sent, received, and deposited by Defendant. (*Ibid.*) Subsequently, on January 23, 2024, Defendant attached several of Plaintiff’s bank accounts and accounts receivable for various long-term clients. (*Id.* ¶¶ 19-20.)

Plaintiff alleges that as a result of Defendant’s actions, he is unable to pay his employees, make an income, or pay state and federal obligations. (Complaint ¶ 21.)

On December 18, 2024, Plaintiff filed the instant action seeking a preliminary injunction against Defendant that would restrain Defendant from levying any accounts or property and reimbursing Plaintiff for the monies that have already been taken.

II. Legal Standard

“A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded.” (*Setliff v. E.I. Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court assumes the truth of the allegations asserted but does not assume the truth of “contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that “reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken.” (*Fremont Indemnity Co.*, 148 Cal. App. 4th 100, 111.) In considering the demurrer, the court must accept the allegations set forth in the complaint as true. (*Serrano v. Priest* (1971) 5 Cal.3d 584, 591.)

III. Legal Discussion

A. Exhaustion of Administrative Remedies

Defendant first argues that the Complaint must be dismissed because Plaintiff failed to exhaust his administrative remedies. Defendant relies on California Unemployment Insurance Code § 1241(a) which states:

No suit or proceeding shall be maintained in any court for the recovery of any amount of contributions, interest or penalties alleged to have been erroneously or illegally assessed or collected unless a claim for refund or credit has been filed pursuant to this chapter.

According to Defendant, because Plaintiff did not file a claim for refund of the monies assessed or collected, he has not exhausted his administrative remedies and the matter must be dismissed.

Generally, “where an administrative remedy is provided by statute, relief must be sought from the administrative body and this remedy exhausted before the courts will act.” (*Abelleira v. District Court of Appeal* (1941) 17 Cal.2d 280, 292.) The exhaustion doctrine “ ‘operates as a defense to litigation commenced by persons who have been aggrieved by action taken in an administrative proceeding which has in fact occurred but who have failed to ‘exhaust’ the remedy available to them in the course of the proceeding itself.’ ” (*Tahoe Vista Concerned Citizens* (2000) 81 Cal.App.4th 577, 589. [citation omitted].) However, the “exhaustion of administrative remedies doctrine has never applied where there is no available administrative remedy.” (*Id.* at 590.)

Here, Plaintiff was not required to exhaust his administrative remedies for two reasons. First, the Restitution Order which, for all intents and purposes, arguably served as a settlement agreement, was not an action taken in an administrative proceeding. Rather, the Restitution Order occurred in the Court as part of a criminal proceeding resolution. Second, Defendant has not cited to any administrative remedy that is available to provide the relief sought in Plaintiff’s complaint. Specifically, Plaintiff is not only seeking to have the monies already taken reimbursed, but is also seeking a court order that would essentially: 1) determine that the Restitution Order constituted a valid settlement agreement between Defendant and Plaintiff, and 2) prohibiting the Defendant from attaching or levying any of his accounts or real property in violation of that agreement.

Accordingly, Plaintiff's Complaint is not barred for failing to exhaust administrative remedies.

B. Preliminary Injunction Analysis

When determining whether to issue a preliminary injunction, the court considers two interrelated questions: (1) the likelihood that the moving party will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. (*White v. Davis* (2003) 30 Cal.4th 528, 554; see also *Robbins v. Sup. Ct.* (1985) 38 Cal.3d 199, 206; Code Civ. Proc., § 526.)

A preliminary injunction may be issued “when it appears by the complaint or affidavits that the commission or continuance of some act during the litigation would produce waste, or great or irreparable injury, to a party to the action.” (Code Civ. Proc. § 526(a)(2).)

1. Likelihood of Success on the Merits

Although not labeled as such, a review of the Complaint shows that Plaintiff is basing his motion for an injunction on an alleged breach of a settlement agreement. (See, *Iverson, Yoakum, Papiano & Hatch v. Berwald* (1999) 76 Cal.App.4th 990,995 [the true nature of action is ascertained from the basic facts alleged].)² At the heart of Plaintiff's request for an injunction is his allegation that the Restitution Order agreed to by Defendant and Plaintiff in the criminal action constituted a full and complete settlement of any obligations owed by Plaintiff to Defendant.

“A party's obligation, whether under a guarantee or a settlement agreement, is contractual.” (*Coles v. Glaser* (2016) 2 Cal.App.5th 384, 391.) To assert a claim for breach of contract, the Plaintiff must allege: 1) the existence of an agreement; 2)

² Plaintiff's failure to attach the alleged contract to the Complaint is not fatal to his cause of action. (*Miles v. Deutsche Bank National Trust Co.* (2015) 236 Cal.App.4th 394, 402.)

Plaintiff's performance or excuse for non-performance; 3) Defendant's breach; and 4) damages. (*Ibid.*)

Here, Plaintiff alleges that as part of the criminal proceeding the Court ordered restitution, agreed to by Defendant, pursuant to which Plaintiff would pay Defendant \$27,028.85 in satisfaction of all outstanding monies owed. Plaintiff alleges that he performed the contract by paying. Plaintiff further alleges that Defendant breached the agreement by levying his accounts and property in an attempt to recoup more money than that agreed. Finally, Plaintiff alleges that he has been damaged because his business is suffering, he is losing income and potentially his home, and he is unable to pay his state and federal obligations.

Accordingly, Plaintiff has, at least at this stage of the proceeding, demonstrated a likelihood of success on his breach of contract claim.

B. Balance of Harm to the Parties

The Court must next look at the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. (*White v. Davis* (2003) 30 Cal.4th 528, 554.) The general purpose of a preliminary injunction is often to preserve the status quo. (*Harbor Chevrolet Corp. v. Machinists Local Union 1484* (1959) 173 Cal.App.2d 380, 384.)

Plaintiff's complaint adequately sets forth facts showing that the continuance of the attachments against him and his accounts will cause great or irreparable injury. The only harm Defendant cites to is a general and vague harm to the integrity of the administrative process. Thus, for purposes of this demurrer, Plaintiff has sufficiently pled and demonstrated a greater balance of harm if the injunction is not granted.

Accordingly, and for all the foregoing reasons, the demurrer to the Complaint is **OVERRULED**.

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiff to prepare a formal Order in compliance with Rule of Court 3.1312 in conformity with this Ruling.

**CLEESE v CALAVERAS CONSOLIDATED
FIRE PROTECTION DISTRICT**

25CV47808

**DEFENDANT CCFPD'S MOTIONS TO COMPEL
AMENDED DISCOVERY RESPONSES**

Jessica Cleese ("Plaintiff") brings this employment action against Calaveras County Consolidated Fire Protection ("CCFPD"), Aurelio Norte ("Norte"), and various John Does.

On August 11, 2025, CCFPD filed multiple motions to compel amended responses to various types of discovery. Subsequently, Plaintiff provided some amended responses leaving only two responses in dispute.

Given that many portions of the motions are now moot³, now before the Court is CCFPD's motion to compel responses only to 1) Request for Production of Document ("RPD") No. 24 and 2) Special Interrogatory ("SROG") No. 39.

I. Facts and Procedural Background

Plaintiff is a woman employed by CCFPD as a Firefighter and Emergency Medical Technician ("EMT") from July 4, 2022, to March 27, 2024. Defendant Norte is also an employee of CCFPD. Plaintiff alleges that on numerous occasions, Norte sexually assaulted her or threatened to sexually assault her. Plaintiff brings claims for assault, harassment, retaliation, and discrimination.

On March 19, 2025, CCFPD served Plaintiff with discovery. After multiple extensions, Plaintiff provided her responses on June 17, 2025. Thereafter, the parties engaged in attempts to meet and confer to amicably resolve the issues. (See e.g. Declaration of Keren Carrillo ("Carrillo Decl.") to MTC RPDs ¶¶ 6-10.)

³ In its Replies, CCFPD concedes the other requests are now moot.